

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DCCED

Date: 5/21/2026

Bill Number: SB 200

Short Title (as it appears on BASIS): MUNI: SVC AREAS; FARM & AGRICULTURAL LAND

What action do you recommend the Governor take?

Select one.

☒ SIGN ☐ VETO ☐ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

The Farm Use clarifications in SB 200 are needed to support a bill enacted in the 33rd Legislature (SB 179: MUNI PROPERTY TAX/TELECOMM TAX; XFER TAX) which modernized eligibility requirements by providing a simple threshold of \$2,500 in annual agricultural sales, verified through a farm's IRS Schedule F. It unintentionally left out S-Corporations. SB 200 also clarifies the definition of farm uses. We support the changes and believe they provide a reasonable solution to the challenges that Alaska's farm and agricultural businesses face.

The road service areas section from House Bill 379 that was rolled into SB 200 applies only to second-class boroughs, as they require voter approval for new powers, unlike first-class boroughs where the assembly can approve them. SB 200 requires voter approval to remove powers or services. Section 7 applies only to service areas created or consolidated after July 1, 2026. This gives second-class boroughs more authority and may blur the lines between borough classes, extending powers beyond residents' expectations. It may also streamline administration by consolidating service areas, lowering transaction costs, and curbing expansion.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this

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bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

SB 200 amends statutes governing municipal service areas and agricultural property tax assessments. The current version of this bill incorporates House Bill 379, to expand the authority of second class boroughs to alter, consolidate, abolish, or adjust fire protection and road service areas without voter approval. It also exempts service areas created after July 1, 2026, from certain future voter-approval requirements for restructuring actions.

The bill also updates requirements for farm-use land assessments by requiring Schedule F information from qualifying applicants and S corporations, revising procedures for new farm applicants, and redefining “farm use” to focus on land producing at least \$2,500 in agricultural products annually. The measure excludes marijuana production from qualifying agricultural use and updates the definition of “S corporation.” Service area provisions take effect July 1, 2026, and agricultural assessment provisions take effect February 1, 2027.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1: Amends AS 29.35.450(c) to expand the authority of second-class boroughs to alter, consolidate, abolish, or adjust certain service areas without voter approval. The bill creates exceptions for fire protection and road service areas, including limited fire service expansions, parcel transfers for more accessible protection, and abolishment or consolidation of inactive road service areas. The bill also allows boundary changes based on road access needs and exempts service areas created after July 1, 2026, from many future voter-approval requirements for restructuring actions.

Section 2: Amends AS 29.45.060(b) relating to applications for farm-use property tax assessment. Applicants must continue submitting Schedule F information or equivalent documentation. The bill allows S corporations to submit equivalent financial information instead of an IRS Schedule F. Applicants leasing agricultural land must provide signed leases covering the exemption period.

Section 3: Amends AS 29.45.060(f) by establishing a declaration-of-intent process for new agricultural operations that lack prior farm income. Applicants may qualify initially by certifying intended agricultural use but must later submit Schedule F or equivalent documentation by April 15 of the following year or lose the exemption.

Section 4: Amends the statutory definition of “farm use” in AS 29.45.060(g). The revised definition focuses primarily on whether the land produces agricultural products and generates at least \$2,500 in annual agricultural sales. The bill removes prior emphasis on “for profit” use and “active engagement” in farming. The definition now includes flowers among qualifying agricultural products and continues excluding marijuana production. The livestock definition is broadened by stating that livestock “includes but is not limited to” the listed animals.

Section 5: Provides that the service-area provisions take effect July 1, 2026.

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Section 6: Provides for an effective date of February 1, 2027.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

Companion: HB 323 (FARM & AGRICULTURAL LAND ASSESSMENTS) sponsored by Representative Moore. The final version of this bill incorporates House Bill 379 relating to Borough Service Areas.

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

Support for the Bill:

Dorothy DeBlauw (contact redacted)
Kevin Klott (contact redacted)
Red Bradley (contact redacted)
Samuel Knapp (contact redacted)
River Bean (contact redacted)
Jonathan Potter (contact redacted)
Hastings Heeringa (contact redacted)
Marc and Ann Lee (contact redacted)
Nancy Tone (contact redacted)
Ann Freitag (contact redacted)
Scott Mugrage, President, Alaska Farm Bureau, 907-756-3422
Katy Jones (contact redacted)
Raina Collins (contact redacted)
Laurence L. DeVita (contact redacted)
Mimi Rooney (contact redacted)
Margaret Timmerman (contact redacted)
Kurt Weichhand (contact redacted)
Barbara Dahl (contact redacted)
Robin Lindahl (contact redacted)
Isobelle and Ryan Mahoney (contact redacted)
Dorothy DeBlauw (contact redacted)

Generally support with concerns:

Nils Andreassen, Executive Director, Alaska Municipal League, nils@akml.org

Opposition of the Bill:

Emily Decker (contact redacted)

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Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

Potentially at the Alaska State Fair in September 2026.

Scott Mugrage, President, Alaska Farm Bureau, 907-756-3422

Commissioner's Signature:

DocuSigned by:

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Date: 5/26/2026

I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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